

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

YSN IMPORTS INC. D/B/A/ FLAME KING, *Complainant*

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC.,
U SHIPPERS GROUP MANAGEMENT CO., INC., *Respondents.*

DOCKET NO. 21-02

Served: July 7, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING RESPONDENTS’ MOTION TO DISMISS

I. INTRODUCTION

Complainant YSN Imports Inc. d/b/a/ Flame King (“Flame King”) filed a complaint alleging violations of the Shipping Act of 1984, as amended (“Shipping Act”) by Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (“Association”), and U Shippers Group Management Co., Inc. (“Management”). Respondents filed a motion to dismiss on May 6, 2021 (“Motion”). Complainant filed an opposition to the motion to dismiss on June 4, 2021 (“Opposition”). Respondents filed a reply to Complainant’s opposition to the motion to dismiss on June 18, 2021 (“Reply”).

Respondents argue that Complainant’s complaint should be dismissed as the Commission lacks jurisdiction to hear breach of contract claims and the complaint fails to assert a claim that involves elements peculiar to the Shipping Act; the complaint hinges on conclusory and legally inadequate allegations of piercing the corporate veil; the complaint fails to allege a claim for reparations; and the complaint’s prayers for equitable relief are not authorized by or consistent with the Shipping Act. Motion at 7-15. In their reply, Respondents contend that Complainant has failed to plead a plausible violation of the Shipping Act; Complainant’s request for equitable relief fails both for lack of Commission authority and lack of Complainant’s standing; and Complainant has failed to make out a claim for reparations under the statute. Reply at 1-12.

Complainant asserts that the Commission has jurisdiction over the alleged violations of the Shipping Act; the complaint’s allegations fully support an award of reparations to sanction U Shipper’s “for-profit” conduct as a shipping association; the request for relief in the form of disgorgement and monitoring of Respondents’ conduct is within regulatory authority of the Commission pursuant to the Shipping Act; and Respondents cannot escape oversight by the Commission for its conduct as a for-profit shipping association. Opposition at 9-21.

As discussed below in greater detail, the motion to dismiss is denied. At this early stage of the proceeding, no discovery has been conducted. Because this is a motion to dismiss, the facts alleged in the complaint must be accepted as true, although there are many factual disputes between the parties, including regarding the relationship between the Respondents, how bookings were allocated, the reason that Respondents expelled Complainant from the Association, and what damages, if any, were incurred. Therefore, this decision does not address the merits of the complaint but merely finds that the complaint alleges a plausible claim so that the case may proceed.

Respondents shall file their response to the complaint by July 22, 2021. As outlined in the initial order issued on March 10, 2021, the parties shall file a joint status report with proposed scheduled by August 6, 2021.

II. LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in situations which are not covered by specific Commission Rules, to the extent that the Federal Rules are consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020).

"When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant's favor." *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC 2011). "A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a

complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179 at *5 (M.D. Tenn. 2014).

III. ANALYSIS

A. Jurisdiction

Respondents contend that the Commission lacks subject matter jurisdiction over breach of contract and breach of fiduciary duty issues as “Section 8(c) of the Shipping Act (now 46 U.S.C. § 40502(f)), specifically holds that the exclusive remedy for breach of a service contract lies with the courts.” Motion at 6-7. Complainant claims that it has properly alleged violations of the Shipping Act by Respondents for operating the Association as a for-profit freight consolidator. Opposition at 9-11.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. This precedent was described in a prior proceeding:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” In *Cargo One*, the question was whether this provision precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role

would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd], 28 S.R.R. 1635, 1645 (FMC 2000).]

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission’s duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.” *Id.*, at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, 33 S.R.R. 1230, 1232-33 (ALJ 2015) (Order Denying Request for Stay).

Here, the complaint alleges that the “for profit” fees imposed by the Association deprive it of status as a “shippers’ association” within the definition of the Shipping Act at 46 U.S.C. § 40102(24), or the regulations at 46 CFR § 520, which require that a shippers’ association must operate on a nonprofit basis; the Association, acting as a “for-profit” entity, cannot make the certification to be recognized as a shipper in a service contract with a carrier, as required by the Act and the Commission’s regulations; the Association misrepresented its status as a nonprofit shipper’s association to induce Maersk and other ocean common carriers to enter service contracts and obtain rates otherwise unavailable to a for-profit freight consolidator in violation of the general prohibition under the Act and the Commission’s regulations; and Respondents’

violations have caused Complainant to lose bookings and to incur costs to pay higher spot rates for existing and future bookings. Complaint at 15-19.

The Commission has an obligation to determine whether an entity has violated the Shipping Act. The allegations in the complaint clearly extend beyond one particular contractual dispute to whether the Respondents are violating the Shipping Act. Indeed it is not the specific terms of the service contract between the Association and the ocean carriers that are disputed, but rather access to the service contract and whether or not Respondents have the capacity under the Shipping Act to enter into service contracts at all. It is not alleged that the specific service contracts required the Association to be a nonprofit entity but rather that the Shipping Act contains such a requirement. The Commission is the proper adjudicator to determine whether Respondents meet the Shipping Act's requirements for shippers' associations. And, although the motion focuses on the allegations that the Association is operating for profit, the complaint also alleges that Respondents obtained rates using unjust or unfair means, which is a more common type of Shipping Act violation. Accordingly, at this point in the proceeding, jurisdiction has been properly alleged in the complaint.

B. Piercing the Corporate Veil

Respondents contend that the claim that the Association is being run for-profit is wholly dependent on a claim that the Commission should pierce the Association's corporate veil and are conclusory. Motion at 8-10; Reply at 3-6. Respondents further assert that the term "non-profit" is not defined by the Shipping Act and that the complaint does not claim that the Association is being run to distribute profits to shareholders but rather that the management fees are too high and that mere allegations of common ownership are not sufficient to make a case for veil piercing. Motion at 10-11; Reply at 6-8.

Complainant asserts that the allegations of the complaint fully support violations of the Shipping Act by the Association's conduct alone in engaging in for-profit freight consolidation or distribution while purporting to be a nonprofit shippers' association and that Complainant has pleaded the elements of the alter-ego claim by asserting that Respondents have used the Association to dominate and disregard the corporate form such that the Association primarily transacted the business of Oberlander and Management. Opposition at 12-16.

Courts treat a corporation as an entity separate from its shareholders, but they will disregard the corporate veil if it is abused. Note, *Piercing the Corporate Law Veil: The Alter Ego Doctrine under Federal Common Law*, 95 Harv. L. Rev. 853 (1982). Because the issue of piercing the corporate veil arises under the Shipping Act, it is a question of federal law as to whether the veil should be pierced. See *N.L.R.B. v. Greater Kansas City Roofing*, 2 F.3d 1047, 1051 (10th Cir. 1993).

The Commission has identified factors that should be considered on a claim that the corporate veil should be pierced. *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, 29 S.R.R 119, 167-168, 2001 FMC LEXIS 39 (FMC 2001) ("*Rose Int'l*").

[S]ome of the major factors used to determine domination and control, and which we will consider, are as follows: (1) the nature of the ownership and control; (2) failure to maintain corporate minutes or adequate corporate records and failure to follow corporate formalities; (3) commingling of funds and other assets; (4) inadequate capitalization; (5) diversion of the corporation's funds or assets to non-corporate uses; (6) use of the same office or business location by the corporation and its shareholders; (7) overlapping ownership, officers, directors and personnel; (8) the amount of business discretion displayed by the allegedly dominated corporation; and (9) whether the corporations are treated as independent profit centers. Moreover, the Commission has found that "[i]t is appropriate to pierce the corporate veil in order to prevent such use of the corporate device to commit . . . statutory violations" and when "failure to do so would enable the corporate device to be used to circumvent a statute."

Rose Int'l, 29 S.R.R at 167-168, 2001 FMC LEXIS 39 at *154-155 (citations omitted).

As discussed in a recent Commission dissent:

Rose was a complex fact scenario where a group of international household goods moving companies created a shippers association so they could enter into a collective service contract with a vessel carrier conference. They then also created a "sham corporation" to act as an NVOCC, all of which was designed to circumvent Shipping Act requirements for bonding, tariff filing, and prohibitions on receipt of unlawful carrier compensation. *Rose* is not easily summarized. The Commission held that:

When analyzing whether the Commission should disregard OSSI's corporate form and pierce the corporate veil, the first inquiry is what law should be applied. It has been held that when a substantive federal interest is at issue, federal common law, rather than state law governs. (citations omitted) Complainant (*Rose*) is alleging a violation of section 10(a)(1), whereby it claims that Respondents created a corporation, OSSI, to operate as a *sham* NVOCC in order to violate the Shipping Act . . . The federal common law . . . generally recognizes a two-prong test to determine whether to disregard corporate form: the evidence must show (1) control and domination over the *shell* corporation, and (2) a federal violation (citation omitted). . . The first prong of the test will be addressed in the course of our analysis of whether OSSI, as an allegedly *sham* corporation, is an unfair device or means, which is one of the factors of a section 10(a)(1) claim. The second prong will be determined by analyzing whether Respondents violated section 10(a)(1) as a whole. . . There are several elements that must be found in order to support a conclusion that OSSI was used by Respondents as an unfair device or means to allow entities acting as NVOCCs without tariffs and bonds to access the . . . [service] contracts. It must be determined that OSSI was not in fact operating as an NVOCC, but was merely a *shell* corporation whereby OSSI agents were able to act as NVOCCs without having to file individual

tariffs and bonds. As part of determining that OSSI was a “*shell*” corporation, the Commission has to find that OSSI was the alter ego of OMNI, Ltd. And as such the Commission should ignore OSSI’s corporate form. In addition, the Commission must find that OSSI’s shareholder agents were not acting on behalf of OSSI, but rather as NVOCCs in their own right. Finally, the Commission must determine that *Respondents acted fraudulently in arranging the scheme*. [emphasis added].

Id. at 166.

Ngobros and Co. Nigeria Ltd. v. Oceane Cargo Link, LLC, 2016 FMC LEXIS 33 at *16-18 (FMC 2016) (Order Staying Proceeding) (Khouri dissent) (footnote omitted).

At this early point in the proceeding, Complainant has not had an opportunity to conduct discovery. The complaint alleges that the “Association is controlled and dominated by Management and Oberlander with a complete disregard for corporate form, such that Management and Oberlander are alter-egos of the Association and, in effect, the Association, Management and Oberlander should be treated collectively as one enterprise under the Act.” Complaint at 3. Accepting the factual allegations in the complaint as true, the complaint is sufficient to plausibly allege that Management and Oberlander are alter egos and that the Association’s corporate veil should be pierced.

C. Claim for Reparations

Respondents assert that Complainant does not allege that it paid excess fees and that receiving invoices for allegedly excessive or improper fees is not addressable by reparations. Motion at 12. Complainant states that “due to Respondents’ actions, Flame King was deprived of access to favorable rates in the service contract with Maersk, and that it has suffered substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the service contract with Maersk.” Opposition at 16-17.

Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for “actual injury caused by a violation of this part.” In order to recover reparations, a complainant must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury. *Rose Int’l*, 29 S.R.R. at 187, 2001 FMC LEXIS 39 at *231-232; *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25, 1991 FMC 111 at *72-73 (ALJ 1991).

The complaint alleges that “Complainant has suffered and will suffer substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the Service Contract by Maersk, and for future bookings under the Service Contract” and seeks reparations “due to Respondents’ violations of the Act, the Commission’s Regulations, and wrongful expulsion from the Association.” Complaint at 19. Accepting the allegations of the complaint as true, Complainant has alleged that it suffered actual injury in the form of increased shipping costs caused by a violation of the Shipping Act. Accordingly, the request for reparations states a plausible claim and will not be dismissed at this early stage.

The parties did not address the complaint's request for civil penalties. When the case is briefed, the parties should address whether or not civil penalties are available when the Commission's Bureau of Enforcement did not bring the proceeding.

D. Equitable Relief

Respondents contend that the Commission lacks general equitable powers, that Complainant lacks standing to seek ongoing equitable relief, and that the relief requested conflicts with longstanding policy that Shippers' Associations are to be minimally regulated. Motion at 13-15. Complainant asserts that the Commission has authority to regulate conduct of shipping associations under the Shipping Act, Respondents' retaliatory termination of Complainant from the Association does not limit standing or diminish any relief sought in the complaint, and the policy argument that shippers' associations are to be minimally regulated does not apply to improper or unauthorized use of an association. Opposition at 17-20.

The complaint requests that the Commission investigate Respondents' conduct, that the service contract with Maersk shall remain in effect, that Respondents cease and desist in imposing additional fees, that the Commission enjoins the Association from imposing additional fees, that the Association may not charge any fees in excess of \$55 per container, and the Association may not cancel YSN's membership or expel it from the Association for its objection to the additional fees or for any failure to pay the additional fees.

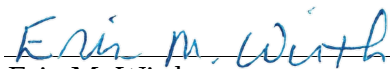
The Commission has the power to issue cease and desist orders and may order Respondents to cease and desist conduct that violates the Shipping Act. The undersigned does not have the power to require the Commission's Bureau of Enforcement to investigate conduct, however, the filing of the complaint provided notice to the BOE of Complainant's concerns. The propriety of the other requests will depend on what violations, if any, of the Shipping Act are established.

E. Conclusion

The complaint makes sufficient factual allegations to plausibly allege violations of the Shipping Act. Complainant will need to further develop and establish the factual basis supporting its complaint and must demonstrate that the facts support finding a violation of the Shipping Act. At this stage of the proceeding, however, Complainant has plausibly alleged a Shipping Act claim and will be permitted to move forward.

IV. ORDER

For the above-stated reasons, it is hereby **ORDERED** that Respondents' motion to dismiss be **DENIED**. Respondents shall file their response to the complaint by July 22, 2021, and the parties shall file a joint status report with proposed schedule by August 6, 2021, as required by the initial order.



Erin M. Wirth

Chief Administrative Law Judge